TOGETHER, WE RISE

Budget Brief

Engaging Our Community, Prioritizing Our Students

Presented to the Portland Public School Board of Directors
September 9, 2025

Agenda

- Preliminary **Property Tax Collection** data
- Review highlights of **August 28th, State Revenue Forecast**
- Share upcoming **Budget Activities**
- **Discussion**

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Preliminary Property Tax Collection

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Downtown Property Market Value Drop

- ➔ **Permanent Rate Property Taxes** may be less than projected but will be offset by State School Fund revenue
- ➔ **Levy collections** for bond debt service will **remain stable**
- ➔ **Flat Local Option Levy** projected through 2028
  - ◆ **Currently estimated at $5,000,000 less in 2025 -26** than budgeted based on historical trends due to "compression"
  - ◆ Revenue is project to remain flat through 2028
  - ◆ The levy will pay for less staff due to growing costs
  - ◆ $5,000,000 ~ 33 Licensed FTE

Quarterly State Revenue Forecast

State of Oregon Revenue Forecast

The net General Fund and Lottery resources available for the 2025-27 biennium is **down $845.5 million** from the close of session.

Breakdown of COS-to-September Forecast Change*

(millions)	PIT	CORP	OTHER	TOTAL
Beg. Balance				-$224.4
ECON	$71.5	-$57.3	$24.2	$38.3
H.R. 1	-$587.8	-$300.5	$0.0	-$888.2
KICKER	$228.8	$0.0	$0.0	$228.8
TOTAL	-$287.5	-$357.8	$24.2	-$845.5

-$621.1m

* -$845.5 million is change in projected ending balance for 2025-27; Row totals are Revenue changes only.

“Prepare and plan, not panic.”



“The forecast does not mean there are imminent state budget cuts.

Today’s news means it is time to prepare and plan, not panic.”

Key differences between this forecast and the Great Recession, include:

- The State has relatively healthy reserves ($3.419 billion) compared to the past.
- This is the first of eight revenue forecasts and there are still 21 months left in the current budget cycle – a lot can change during that time period.
- The Governor and Legislature have time to plan a response to the budget news - there isn’t sufficient evidence to rush straight to budget cuts.

Preliminary Budget Calendar and Activities

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Budget Process

BUDGET BUILDING
April - June
Propose Budget
CBRC Report
Approve Budget
Public Comment & Hearing
TSCC Certify Budget
Adopt Budget

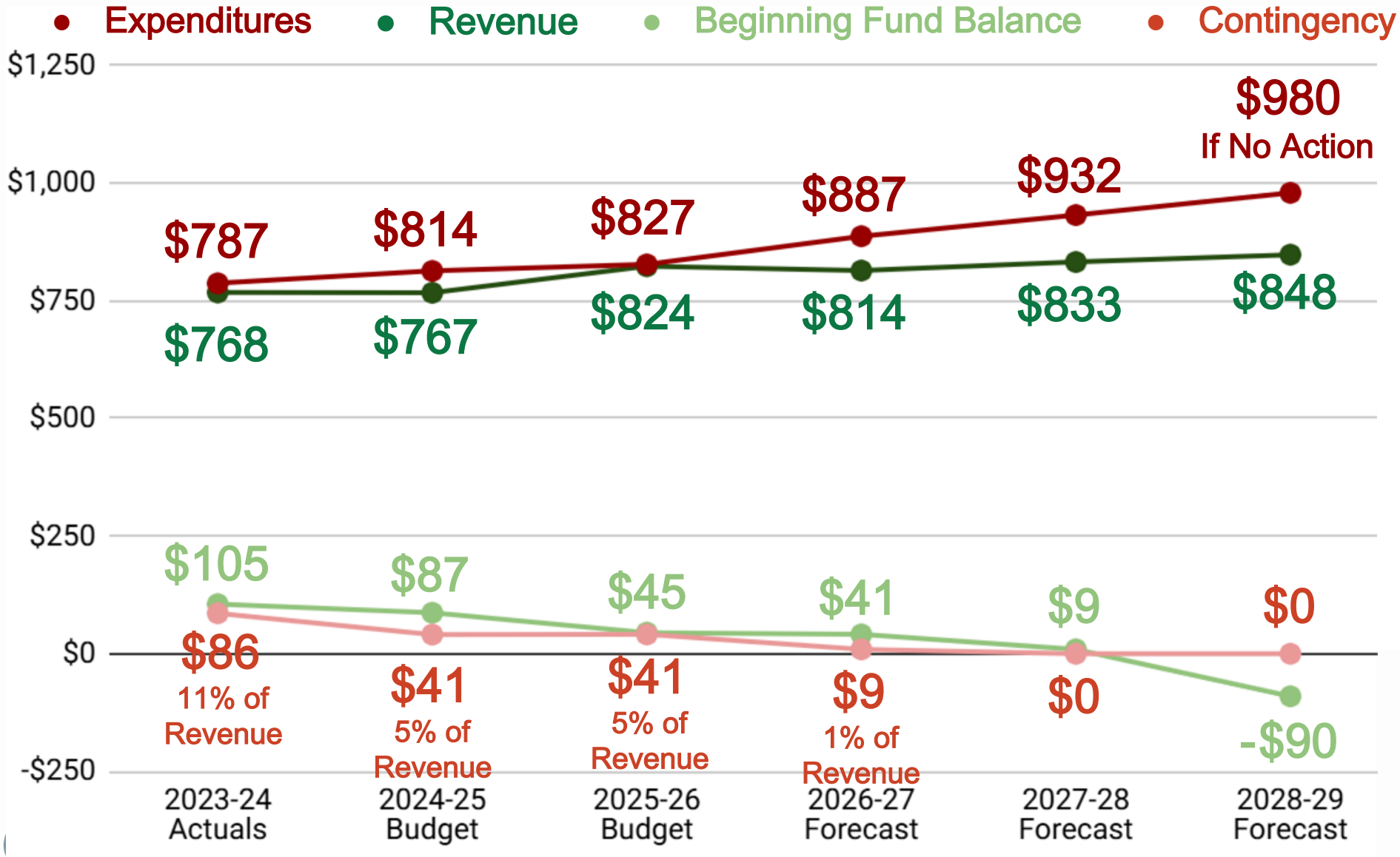
FISCAL NEW YEAR
July - September
Implement & Monitor Budget
Close & Audit Prior Year



BUDGET PLANNING
January - March
Budget Worksessions
Conduct Budget Outreach
Finalize Priorities
Implement Workforce Plan

BUDGET AWARENESS
October - December
Adopt Budget Calendar
Forecast Enrollment & Finances
Conduct Needs Assessment
Engage with Communities

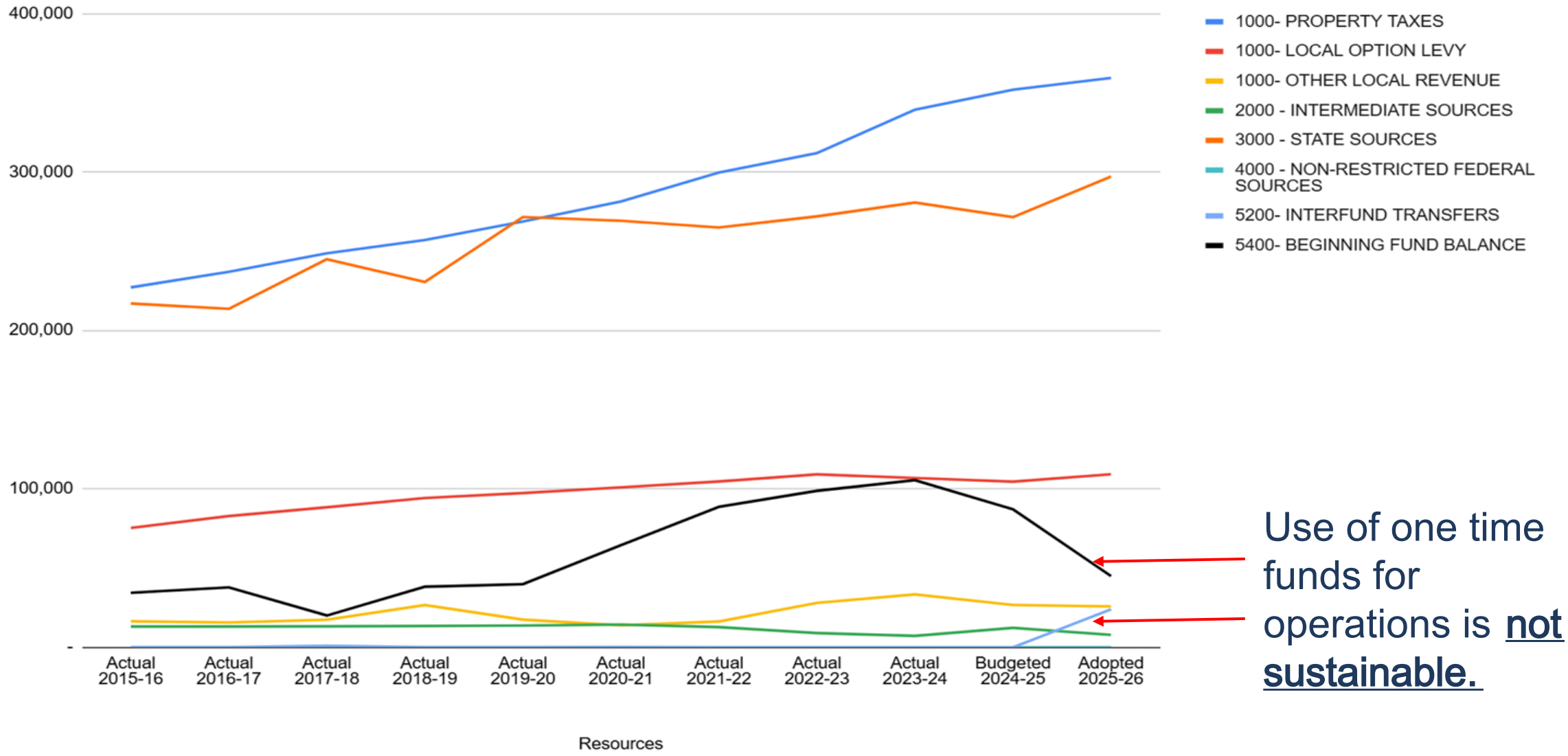
2025-26 Projected General Fund (In Millions)



- ➔ Expenses are increasing while revenue declines.
- ➔ If no action Is taken, reserves are depleted and the budget deficit will compound every year.

DRAFT: Estimates are preliminary.

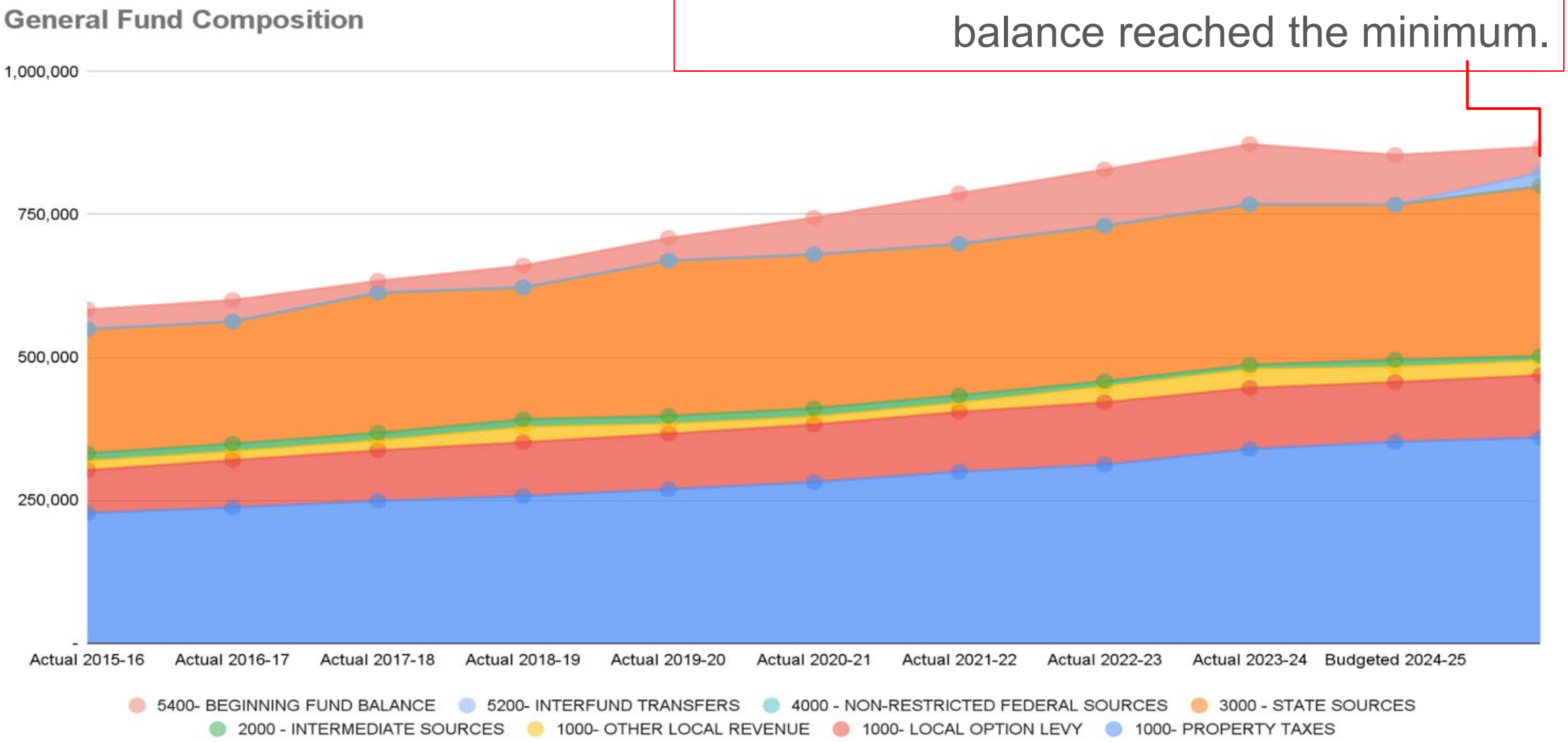
2015-16 to 2025-26 General Fund Revenue (In Thousands)



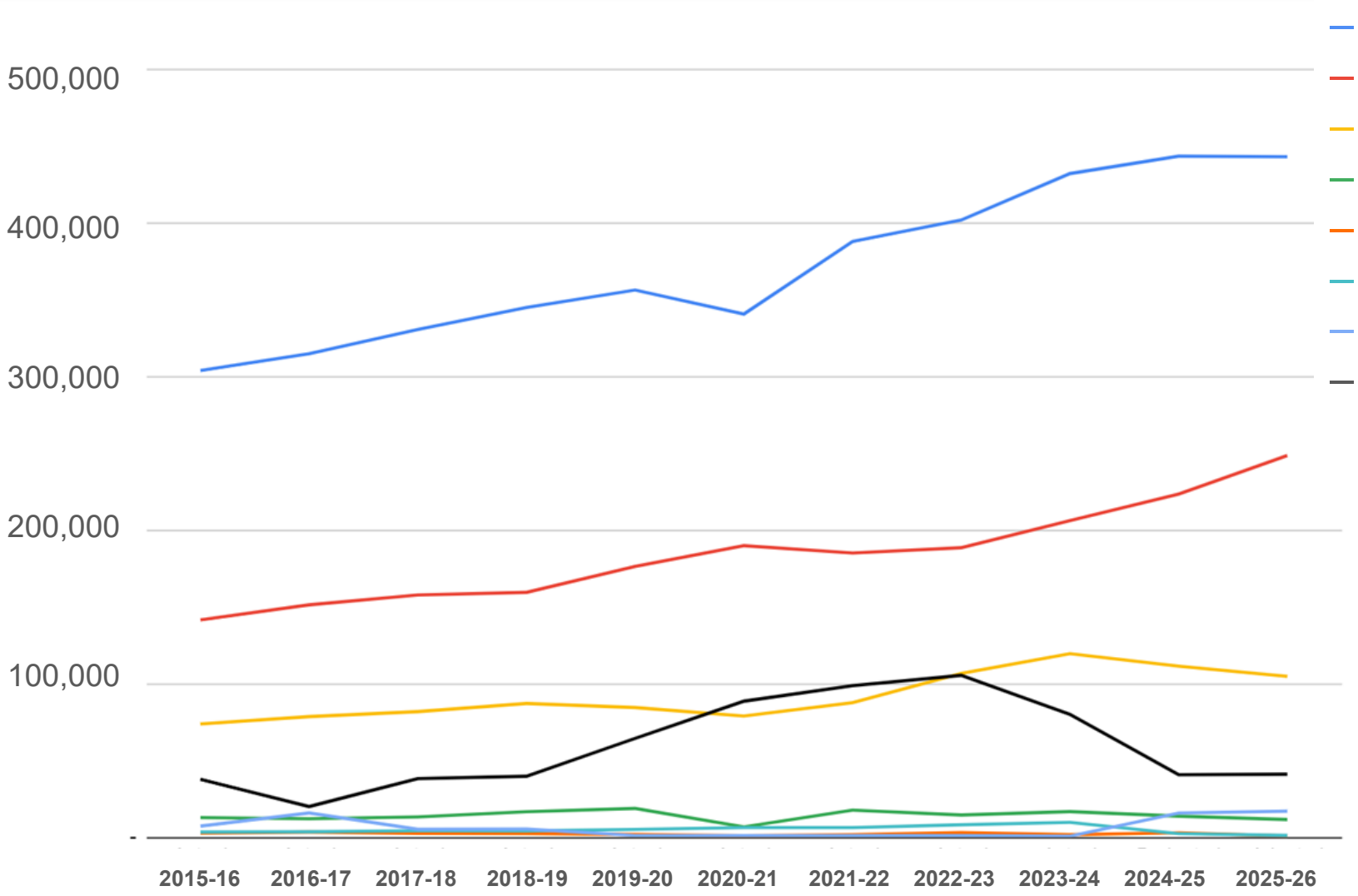
Use of one time funds for operations is **not sustainable.**

2015-16 to 2025-26 General Fund Revenue (In Thousands)

2025-26 transfer of full reserves as fund balance reached the minimum.

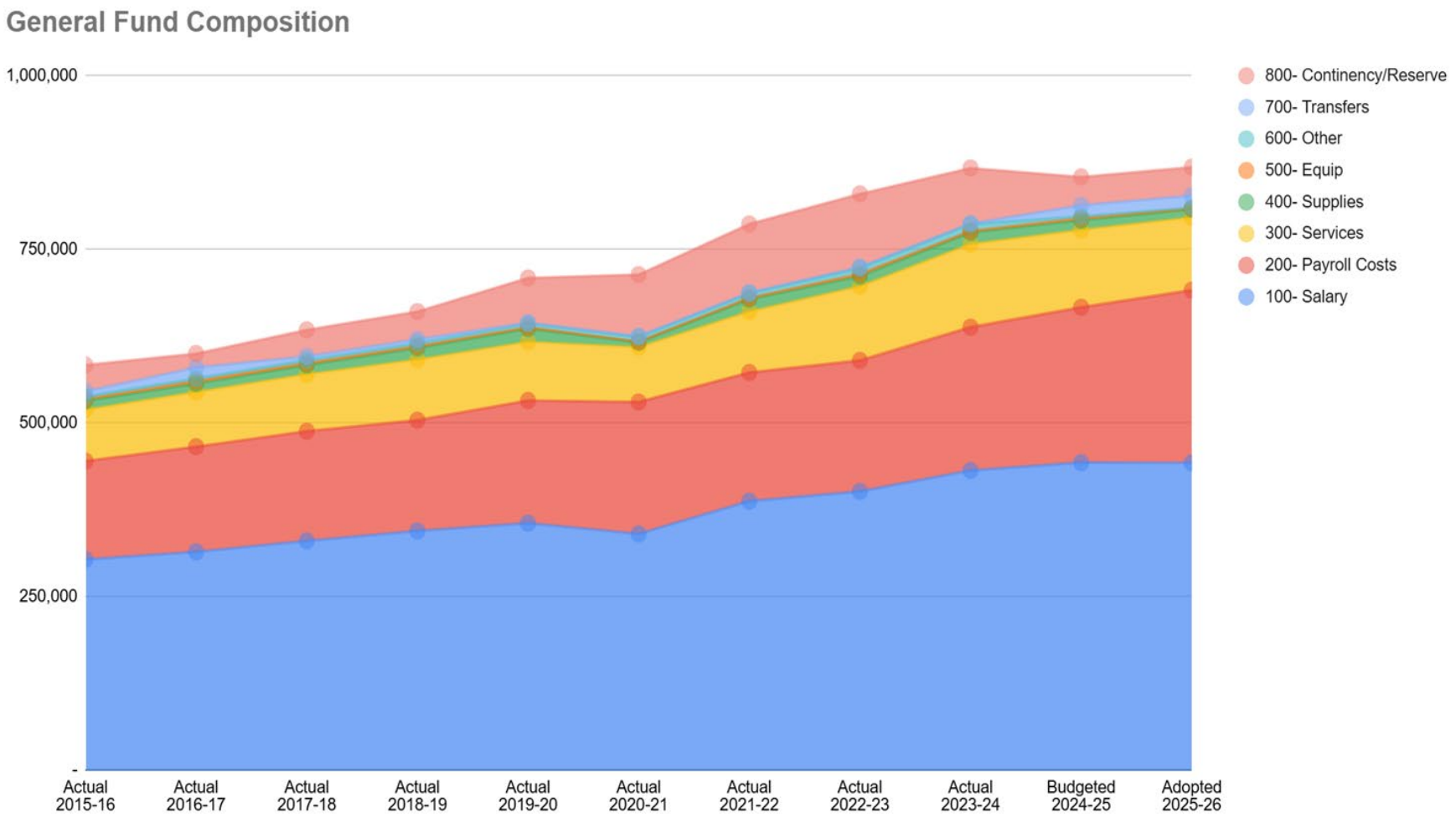


2015-16 to 2025-26 General Fund Expenses (In Thousands)



- ➔ Expenses for staffing have been rising, even with reductions to FTE
- ➔ Contingency has been reduced to the minimum target of 5%
- ➔ Contingency funds are one-time and should not be used for regular staffing or operations

2015-16 General Fund Spending Stacked (In Millions)



- Expenses for staffing have been rising, even with reductions to FTE
- Note: contingency has been reduced to the minimum target of 5%
- Contingency funds are one-time and should not be used for regular staffing or operations

DRAFT: Estimates are preliminary.

Roles in Budget Development

Superintendent
Define vision and priorities;
set and staff organizational structure;
propose budget

Cabinet Leaders
Inform and enable vision and priorities; lead coordinated initiatives

Cross-Functional Teams
Coordinate process and produce deliverables

Principals
Inform priorities; implement staffing and budget



Board of Education
Set direction; serve as Budget Committee;
approve levies and appropriations;
receive public comment

Community Budget Review Committee
Review budget and local option levy;
make recommendations to the Board

Tax Supervising and Conservation Commission
Certify approved budget and tax levies

Students, PPS Teams, Community Members, Partners
Inform priorities, elevate insights and impacts

Coming in October

2024-25 Preliminary Ending Fund Balance

2025-26 Budget Brief

- ➔ Recalculation of average costs
- ➔ Updated expenditure projections
- ➔ Updated enrollment projections
- ➔ Updated Local Option Levy revenue projections

Planning for 2026 -27

- ➔ Budget Calendar preview
- ➔ Shortfall identified based on current projections
- ➔ Cost estimates to use for modeling

Questions & Discussion